higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE (VOCATIONAL)

FINANCIAL MANAGEMENT
NQF LEVEL 2

(3011012)

27 November 2019 (X-Paper)
09:00–12:00

This question paper consists of 12 pages and 1 answer sheet.

Copyright reserved

TIME: 3 HOURS
MARKS: 150

INSTRUCTIONS AND INFORMATION

1. Answer all the questions.
2. Read all the questions carefully.
3. Number the answers according to the numbering system used in this question paper.
4. Start each question on a new page.
5. Use a pen with only a BLUE or BLACK pen.
6. All VAT calculations must be done at a rate of 15%.
7. Write neatly and legibly.

Copyright reserved

SECTION A

QUESTION 1

1.1 Various options are given as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.1.1–1.1.15) in the ANSWER BOOK.

1.1.1 … are suppliers of stock, services and non-current assets on credit to a business.

A Debtors
B Customers
C Creditors
D Companies

1.1.2 A loan is a … payable over a period of 5, 10 or 20 years.

A current liability
B long-term liability
C non-current asset
D short-term liability

1.1.3 … include(s) the aims of the business regarding sales turnover and profit targets.

A A business plan
B Business objectives
C An operating plan
D Financial records

1.1.4 An increase in the cost price of an item or service is called a …

A discount.
B mark-down.
C profit.
D mark-up.

1.1.5 A business receives money in different forms and must provide the payer with proof of payment. This proof is called a/an …

A receipt.
B cheque.
C invoice.
D credit note.

1.1.6 The income of a business, added to its gross profit, represents the … of a business.

A turnover
B net profit
C gross profit
D gross income

Copyright reserved

1.1.7 … is/are the final earnings of a business after the payment of interest, tax and dividends and can be re-invested in the business.

A Profit
B Earnings
C Retained income
D EBIT

1.1.8 A … has conditions attached, such as a minimum balance and a notice period if you wish to withdraw a large sum of money.

A savings account
B cheque account
C current account
D fixed-deposit account

1.1.9 The … is the business or person who is receiving payment by cheque.

A payee
B drawee
C drawer
D receiver

1.1.10 The … is a set of books into which transactions are first entered.

A trial balance
B general ledger
C subsidiary journal
D financial statements

1.1.11 … is the estimation of a business's possible future profit in a particular period.

A A profit forecast
B A profit trend
C Gross profit
D Net profit

1.1.12 VAT that must be paid or claimed back from SARS must be submitted on a … form

A VAT202
B VAT102
C VAT201
D VAT401

Copyright reserved

1.1.13 The loss of stock which can be due to factors such as shoplifting is called …

A shrinkage.
B stock loss.
C obsolete stock.
D stock rotation.

1.1.14 A/An … is the document which serves as the main source of information from which the bookkeeper can enter a transaction.

A supporting document
B internal document
C external document
D source document

1.1.15 A … is taxed on its personal income and that of the business and not separately.

A public company
B sole trader
C private company
D close corporation

(15 × 1) (15)

1.2 Choose a word from COLUMN B that matches a description in COLUMN A. Write only the letter (A–N) next to the question number (1.2.1–1.2.10) in the ANSWER BOOK.

COLUMN A		COLUMN B	
1.2.1	VAT which the business collects from customers for goods sold or services rendered	A	income tax
1.2.2	A cheque written by the drawer for a date in the future	B	stale
1.2.3	Ensures that customers can be given change when they purchased a product	C	petty cash voucher
1.2.4	An expense that occurs every month in the books of the business	D	water and electricity
1.2.5	Tax obtained from people who draw salaries and wages in the business sector	E	output VAT
1.2.6	A bound book containing documents (in duplicate or triplicate) for recording the details of bank deposits	F	deposit slips
1.2.7	An agreement between a buyer and a seller which lists the timing and amounts of payment the buyer will make in future	G	credit term
1.2.8	A source document used to record small cash transactions	H	float
1.2.9	A bank account with low interest, from which money may be withdrawn without giving notice	I	irregular expenses
1.2.10	The person in a business who keeps a record of all the facts and figures relating to the financial transactions of the business	J	current account
		K	deposit book
		L	bookkeeper
		M	savings account
		N	post-dated

(10 × 1) (10)
[25]

QUESTION 2

2.1 Indicate whether the following statements are TRUE or FALSE. Choose the answer and write only 'True' or 'False' next to the question number (2.1.1–2.1.10) in the ANSWER BOOK.

2.1.1 A trial balance is a statement that shows all the accounts and their balances in a business.

2.1.2 Stock rotation means that stock is out of date and no longer usable.

2.1.3 The amount of money invested by the owner in a business is called capital.

2.1.4 Non-current assets are considered in determining the cash flow from financing activities.

2.1.5 The business can apply for a loan to manage its cash flow.

2.1.6 VAT increased during April 2018 from 14% to 16%.

2.1.7 A bearer cheque is payable to anyone who presents it for payment at a bank.

2.1.8 A business with a turnover of less than R300 000 may register voluntarily as a VAT vendor.

2.1.9 The selling price of an item must include all costs and the profit gained from the mark-up percentage.

2.1.10 In a manual accounting system, internal source documents will be in the correct order.

(10 × 1) (10)

2.2 Complete the following sentences by choosing the correct word or words in brackets. Write only the word or words next to the question number (2.2.1–2.2.15) in the ANSWER BOOK.

2.2.1 A (credit/cash) card is linked to a bank account that allows you to buy goods on credit.

2.2.2 Every cheque issued in the business must be recorded in the (cash receipts/cash payments) journal.

2.2.3 A (credit/debit) note is issued to a customer who has returned goods bought on credit.

2.2.4 (Irregular/regular) expenses will only appear as an expense when needed.

2.2.5 Breakage of stock has a (positive/negative) influence on the net profit of a business.

2.2.6 A bank keeps control of deposits and payments of a business and then sends out a (bank/cheque) statement at the end of every month.

2.2.7 The teller at a bank must verify the cash and cheques against the (deposit/bank) slip.

2.2.8 An online payment into the account of a business or person to whom you owe money is called an (electronic fund/electronic debt) transfer.

2.2.9 The sum of money used for purchasing items of low value is called (petty/base) cash.

2.2.10 When a bank statement uses separate debit and credit columns, all payments will be indicated in the (debit/credit) column.

2.2.11 All documents of the business should be kept for a period of (three/five) years, according to SARS regulations.

2.2.12 A business must keep a receipt book and complete a receipt in (duplicate/triplicate).

2.2.13 In a (partnership/public company), two or more people pool capital, labour and skills and become the joint owners of the business.

2.2.14 (Dividends/Reserves) are distributions made to the shareholders of a company.

2.2.15 When cash is received, a receipt is issued by the cashier. The (original/duplicate) receipt is handed to the payer.

(15 × 1) (15)
[25]

TOTAL SECTION A: 50

SECTION B

QUESTION 3

3.1

Donald and Duck Veggies were formed by two brothers who decided to start a partnership after winning the Lotto. However, they are inexperienced business partners. After the second month of business, they ask you for help.

Study the bank statement given below and answer the question.
Show ALL calculations for this question.

BIG FEET BANK
BANK STATEMENT

Donald and Duck Veggies
32 Park Street
Springs
1559

Statement no.: 02
Account no.: 031039941
Date: 30 November 2018

DATE	DETAIL	DEBIT	CREDIT	BALANCE
01/11/18	Balance b/f			?
04/11/18	Cheque no. 36	1 200.00		17 240.00
09/11/18	Service fee	102.00		
13/11/18	SARS		1 005.00	
15/11/18	D/O: Liberty Life (insurance)	928.00		
18/11/18	Cheque no. 39	728.00		
21/11/18	Deposit		11 660.00	
23/11/18	Cheque no. 41	120.00		
29/11/17	Cheque no. 37	400.00		
30/11/18	Cheque book	175.00		
30/11/18	Direct deposit: Big Feet (rent)		4 500.00	
30/11/18	Interest on current account		123.00	

3.1.1 Calculate the opening bank balance on 1 November 2018. Indicate whether the balance is favourable or unfavourable. (4)

3.1.2 Identify the account holder and the type of account according to the information given on the statement. (2)

3.1.3 Explain the transaction made on 13 November 2018. (2)

3.1.4 What does the abbreviation D/O mean? How does this transaction affect the balance of the bank statement? (2)

3.1.5 How much is deducted from the business bank account as bank charges? (3)

Copyright reserved

3.1.6 Give TWO reasons why banks charge bank charges/ledger fees. (2)

3.1.7 On 30 November 2018, the bank statement reflected an amount of R4 500.00. Explain this transaction. (2)

3.2 On 30 November 2018, Donald and Duck Veggies buy fresh fruit from a local farmer, Veggies Galore, for R5 500.00 and pays by cheque. Mr Carrot receives the payment on behalf of the business and issues receipt number 422 to the business.

Complete the receipt on the attached ANSWER SHEET. (7)

3.3 Give TWO guidelines in which Donald and Duck Veggies should manage the liabilities of the business. (4)

3.4 You are appointed as the financial manager of Donald and Duck Veggies. Make use of the information below and answer the questions.

	2017	**2018**
Sales	R677 000.00	R994 000
Cost of sales	R355 000.00	R522 000
Total income	R34 000.00	R42 000
Total expenses	R122 000.00	R17 500

3.4.1 Calculate the gross profit for the financial year ended 2017.

3.4.2 Based on the information provided and the net profit calculated above, is the business progressing? Give ONE reason for your answer. (2 × 3) (6)

3.5 What is the purpose of a balance sheet? (2)

3.6 Identify the journals which you, as the financial manager of Donald and Duck Veggies, would use to record the transactions listed below.

3.6.1 Received cash for selling fruit and vegetables.

3.6.2 Paid by cheque for containers to repack the fruit in smaller quantities.

3.6.3 Bought stock on credit from the local supplier.

3.6.4 Donald took fruit and vegetables home for personal use.

(4 × 1) (4)

[40]

Copyright reserved

QUESTION 4

4.1 Thuto Computers is registered as a VAT vendor. It provides you with the following information for the month of November 2018:

Total purchases of computers and printers: R956 800 VAT exclusive
Total sales of computers and printers: R413 600 VAT inclusive

4.1.1 Calculate the input VAT.

4.1.2 Calculate the output VAT.

4.1.3 Calculate the amount of VAT that is refundable from or payable to SARS.

(3 × 2) (6)

4.2

Bokamoso Dresses is a business that designs and makes dresses for any special occasion. It employs five workers. Mashudu, the owner, pays her workers R120 an hour. The rent of the shop is R7 000 per month. General business costs (excluding the salaries of the dressmakers), such as telephone, water, electricity and insurance, add up to R5 000 a month. Mashudu herself consults with her customers, answers the phone and does administrative work. Each of her staff works for an average of 200 hours a month. Mashudu requires a 25% profit. An average dress takes 12 hours to complete. Bulelwa wants a dress for her Level 2 year-end function and contacts Bokamoso Dresses. If she pays cash for the dress, she will receive a 2,5% discount.

4.2.1 Calculate the price of the dress (VAT exclusive). (8)

4.2.2 Calculate the cash discount amount. (3)

4.3 On Black Friday, Mohamme Traders marks down goods to the value of R3 500. The goods are marked down by 6,5%.

Calculate the marked-down amount and the amount to be paid by customers. (3)

[20]

QUESTION 5

5.1

King Kong Suppliers deals with ASBA Bank. It purchases stock from Impisi Locks and issues a cheque for R12 500.00. The bookkeeper spells the name of the supplier wrong, but changes it and adds his signature next to the change. He crosses out the words 'or bearer' and writes down the word 'order'. In addition, he crosses the cheque and writes the words 'ASBA Springs' on the cheque. Impisi Locks endorses the cheque to Lion King, who has an account at Capital Bank.

5.1.1 Name the parties to the cheque. (3)

5.1.2 Is the change on the cheque valid? Give a reason for your answer. (3)

Copyright reserved

5.1.3 What type of crossing appears on the cheque? What is the meaning of this type of crossing? (3)

5.1.4 Can Impisi Locks endorse the cheque to Lion King? Explain your answer. (3)

5.2 Give TWO pieces of information that appear on the deposit slip. (2)

5.3 Name and briefly outline the TWO systems of petty cash. (4)

5.4 Briefly describe TWO control measures that should be in place when dealing with petty cash. (2)

[20]

QUESTION 6

6.1 You are appointed as the new financial manager of Tip Toes (Pty) Ltd. Use the information below to draw up an income statement for the year ended on 30 November 2018 and submit it to the board of directors.

Cash sales	R480 000
Credit sales	R798 000
Cost of sales	R852 000
Rent income	R13 000
Water and electricity	R17 600
Salaries	R62 000
Telephone	R4 300
Interest on loans	R31 000

(14)

6.2 Indicate the effect of the following items on the profit of the business:

NUMBER	ITEM	INCREASE/DECREASE
6.2.1	Interest on investment	
6.2.2	Taxation	
6.2.3	Dividends	
6.2.4	Shrinkage	

(4)

6.3 Name ONE factor that can lead to an increase in the expenses of a business. (2)

[20]

TOTAL SECTION B: 100
GRAND TOTAL: 150

Copyright reserved

ANSWER SHEET

EXAMINATION NUMBER: | | | | | | | | | | | | | |

CENTRE NUMBER: | | | | | | | | | | | |

3.2

VEGGIES GALORE



CASH RECEIPT

DATE: _____ NO.: _____

RECEIVED FROM: _____

AMOUNT: _____

_____ R

FOR: _____

WITH THANKS: _____
(SIGNATURE)

(6)

Copyright reserved